

MISSION PRODUCE INC AVO

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by

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			2026	2027
Price:	12.90	EPS	.63	.83
Shares Out. (in M):	88	P/E	20.5	15.5
Market Cap (in \$M):	1,139	P/FCF	0	0
Net Debt (in \$M):	341	EBIT	0	0
TEV (in \$M):	1,481	TEV/EBIT	0	0

Description

I am recommending Mission Produce ("AVO" or the "Company") as a long investment. AVO was described as a short in September 2024 by Siren81. As a consumer staple, AVO's beta is low but one can see substantial gaps up and down since the Company went public in 2020. Much of that volatility can be ascribed to quarterly changes in the volume and price of avocados. I do anticipate ongoing volatility to avocado volume and prices but I am more focused on increasing evidence of FCF generation and the Company's margin resilience which has averaged 12% gross and 8.4% EBITDA in the past two fiscal years versus 8.7% and 4.9%, respectively, in the preceding two years. The better margin profile at Mission Produce is largely driven by management's vertical integration strategy and improving asset utilization. The Company's multi-year investments in orchard development and distribution infrastructure weighed on both ROIC and FCF generation but those major investments are done and the rate-of-change from those investments are "bearing fruit" (pun intended). In recent years, the Company expanded into fresh mangos and blueberries, broadening its product line beyond avocados to leverage customer relationships and distribution infrastructure. In addition to the improved strategic positioning and positive rate-of-change expected from past growth investments, the Company's growth will also accelerate from its acquisition of Calavo which fortifies Mission Produce at ~30% share in the secular growing avocado category while providing additional diversification in produce and strategic entry into the prepared food segment.

Since its public debut in 2020 at \$12, AVO peaked at ~\$23 during June 2021 and bottomed at ~\$8 during November 2023. If one went short during September 2024, there were numerous opportunities to effectively trade around that short investment. I assume there will be several opportunities to trade around my long investment in Mission Produce but I envision AVO will trade at my \$19 target within 2-3 years. Although not yet obvious in the Company's reported results, I believe Mission Produce is near a positive rate-of-change inflection point. Many market participants will prefer to see more evidence of such from a fundamental or technical screen but I anticipate those screens will improve accordingly and a price below \$13 is a good price to invest in AVO in advance of what the market will screen positively in hindsight.

When Mission Produce was founded, Calavo was the dominant U.S. avocado packer at that time. Mission Produce was co-founded in 1983 by Stephen Barnard who served as CEO from until recently transitioning to Executive Chairman in April when COO John Pawlowski assumed the CEO role. Barnard owns ~8% of AVO. Pawlowski joined Mission Produce in April 2024 as COO after more than 25 years in the global food and foodservice industry with Lipari Foods and J.M. Smucker. Pro forma for the acquisition of Calavo, the Company's product mix is 84% avocado, 5% blueberry, 4% mango, 4% guacamole, 2% tomato, and 1% other. Geographic mix is 83% U.S. and 17% ROW. A core pillar of management's strategy is driving growth in Europe and Asia. Prior to the acquisition, AVO's sales mix was 22%; those sales compounded by ~25% during the past two fiscal years at Mission Produce. The growth potential in Europe and Asia is substantial since avocado consumption in Europe is roughly a quarter of U.S. levels and in Asia at roughly a tenth. Americans consume eight pounds/capita compared to twenty pounds in Mexico.

Demand for avocados is strong. Industry forecasts range from 6-8%. "It's the most consistent growth component across the produce category." Mission Produce's management determined it was prudent to both diversify its supply base and internalize part of it with owned production. Imports from Peru have become a critical part of the supply chain providing both retail and foodservice customers with consistent supply during the summer. In Mexico, avocados are harvested year-round but typically peaks between December through March. In Peru, the harvest typically peaks between April and September. AVO's senior director of sales said, "At Mission, we take a diversified sourcing approach, and Peru plays a particularly important role during the summer window when Mexican production naturally pulls back." Peru is the world's second largest avocado grower and exporter. The Company began planting in Peru in 2011 and manages over 11,000 acres as part of its vertical integration strategy. Over 85% of AVO's planted acreage is in Peru. The Company has progressively planted new orchards in Guatemala to diversify its vertical integration strategy. Avocado trees begin to produce in ~3 years and typically reach full production in ~5-7 years. The Company has also invested in a JV in Colombia. The Company realizes a greater portion of its gross profit during the second half of its fiscal year because of the volumes sourced from its farming operations in Peru. Approximately 55% of the Company's employee base (before the Calavo acquisition) was located in Peru. Though its vertical integration strategy was accompanied by substantial capital investment, the magnitude of capital required is now more maintenance-related and Mission Produce benefits from less reliance on costlier third-party sourcing and consequently a structurally higher gross margin.

A competitive advantage is Mission Produce's proven capability to source its fruit from over twenty countries at scale. Large customers require assurance of supply and AVO's breadth and depth in farming, sourcing, and distribution reinforces its relationships across its top ten customers which average over twenty years. AVO's top ten customers comprised 67% of sales last year. At Calavo, the top ten comprised 51%. Following the Calavo acquisition, Mission's position as the avocado category's most reliable supplier has been reinforced and customer relationships have further strengthened.

In recent years, the Company expanded into blueberries and mangos to diversify and leverage its existing distribution infrastructure. Before the acquisition, blueberries and mangos comprised less than 13% of sales at Mission Produce but that's from less than 3% in 2022. The combination grew at 85% CAGR over a three-year period and blueberries comprised 11% of AVO's EBITDA in 2025. The Company does not disclose mango profitability but the category is an important component of potential growth. The Company operates ~700 acres of mangos in Peru and its share of the mango category has grown to 6.4% in

2025 from 1.5% in 2021. Nearly 50% of avocado shoppers also purchase mangos. The Company's blueberry segment sales are concentrated in the first and fourth quarters of its FY in alignment with the Peruvian blueberry harvest season that typically runs from July through January. The addition of Calavo's tomato and papaya lines further diversifies the Company's produce offerings which enhances Mission's "one-stop-shop" value proposition to retail and foodservice customers and might drive higher wallet share over time.

Although AVO's management has not included top-line synergies in its communicated \$25M, they have identified Calavo's guacamole business as a high growth, margin accretive segment that is likely to improve meaningfully as part of the acquisition. The global avocado processing segment is ~\$2.7B of which Calavo had ~3% share. Management at Mission Produce is confident their customer relationships are far stronger than those at Calavo to drive incremental share. Part of their optimism also stems from both the CPG and food service experiences of AVO's recently-appointed CEO. Gross margin at Calavo's prepared food segment averaged ~20.5% during the past three fiscal years versus their fresh produce margin at ~9%. Overall gross margin at AVO averaged nearly 11% during that period which is higher than Calavo's fresh produce partially because of AVO's international farming strategy. At less than 5% of overall sales, the guacamole business is not likely to garner much immediate attention from the market nor impact financial results considerably in the shorter-term but there's a trajectory of higher margin, top-line growth that could act as an earnings catalyst in the medium-to-longer term.

I envision AVO will trade at my \$19 target within 2-3 years. I derive \$19 in three years assuming the market is discounting FY 2030 at 7.5x EBITDA multiple on \$236M of EBITDA inclusive of estimated FCF generated through FY 2029. Pro forma for \$25M of cost savings from the Calavo acquisition and therefore 2025 EBITDA at ~\$177M implies ~6% CAGR in EBITDA. Based on the secular growth profile of avocados, the strategic merits of the Calavo acquisition and the probability of successfully achieving cost savings, I do not view my estimated EBITDA as overly ambitious. Management has noted their opportunity to increase EBITDA to more than \$222M by FY 2030.

In addition to my impression of AVO being an attractive investment, it's notable that a couple of Directors agree as demonstrated by their ~\$13M of insider buying during June. Although other insiders have not expressed their confidence through open market purchases, the collective ownership of all insiders is very high at ~31% before the incremental confidence expressed by the \$13M insider purchases. Furthermore, during June the Company's Board authorized a \$100M buyback and then in an 8K filed only one month after that buyback authorization, management reported that over \$7M of stock had already been repurchased. It's unconventional to issue an intra-quarter 8K to communicate the magnitude of stock having been repurchased but the Company's Board and management team might have felt compelled to signal a message to the market including the strategic investor Globalharvest Holdings.

Globalharvest Holdings acquired \$32M of AVO equity as described in their filings on July 6th, 8th, and 9th. I suspect it was not coincidental that Mission Produce's 8K was dated July 9th that was issued the morning of July 10th. Globalharvest has been accumulating AVO for over a year with their first 13D filed in June of 2025 when they owned 6.2% of AVO. As of the last filing, Globalharvest owned almost 15% of AVO at an ~\$12 cost basis inclusive of stock purchased at \$13.80 in early January as well as Calavo stock that was exchanged for AVO shares. Globalharvest is a strategic investor connected to the Brazilian Safra Group. During 2014, the Safra Group in combination with the Cutrale Group, made an unsolicited offer to acquire Chiquita Brands. Cutrale-Safra ultimately succeeded in its takeover battle. In addition to Chiquita bananas, the Cutrale Group's global business operations include oranges, apples, peaches, lemons, and soybeans.

Mission Produce announced the acquisition of Calavo on January 14th and announced a stockholder rights plan on January 22nd with a one-year duration. Globalharvest had accumulated 7.9M shares as of January 8th but another ~2M shares were purchased from January 15th-22nd. The Rights Plan was in response to the accumulation of the Company's stock by Globalharvest. Management noted that discussions with Globalharvest had occurred but without clarity as to Globalharvest's intentions. The defensive governance action was deemed prudent to reduce the likelihood that any group gains undue influence over the Company without paying all shareholders an appropriate control premium. Management has acknowledged that they've spoken with Globalharvest but know little about them other than their connection to Chiquita. Given Globalharvest's ownership across the produce category, I view their AVO investment as being well-informed and although there's substantial overhang if they choose to exit their AVO investment, I assume they are aligned towards a longer-term interest that could eventually lead to a control premium. Although that is not my base case and ultimately could materialize into an upside case, I view both the insider alignment coupled with Globalharvest's ownership as a source of some downside protection based on a review of their recent open market purchases. Those purchases and the \$100M buyback are likely being influenced by well-informed investors embracing both the improved strategic positioning and the likely rate-of-change at Mission Produce. If a private market transaction were to occur in 2029 applying the 9-12x range of EBITDA multiples used by Evercore and Jefferies in their fairness opinions pertaining to Mission Produce and Calavo, that would imply a price of \$22-30 based on my EBITDA estimate for 2029 and FCF generated through the end of that fiscal year.

There is a rate of change to sales and EPS that is being anticipated by the sell-side as evidenced in consensus estimates as reflected by ~17% top-line growth and ~32% EPS growth for the next fiscal year. A key component of that growth will be derived from the recent closure, at the end of May, of Mission Produce's acquisition of Calavo (previously traded under "CVGW" and described four times on VIC). In addition to delivering growth in revenue, EBITDA, and EPS, I believe AVO's management will deliver FCF growth more consistently pursuant to the one-time costs to implement synergies from the Calavo acquisition. Furthermore, the rate-of-change to ROIC is expected to improve although a return to more than 14.5% generated in 2019 is not likely anytime soon.

A key premise of the AVO short recommendation on VIC was the absence of FCF and that observation was appropriate as one can see from three consecutive years of negative FCF from FY2021-2023. However, during the past two years, the Company has generated nearly \$100M of total FCF. Management has been explicit that the Company's heavy capital investment cycle has been completed, with capital spending targeted at 3-4% of sales and FCF conversion (of EBITDA) targeted to increase to more than 50% by FY2030. During the past two fiscal years, management delivered 45% FCF conversion. During 2019, the Company delivered over 50% FCF conversion when capital spending was 3.4% but ranged from 5.2-8.2% during fiscal years 2020-2023. Capital spending at Mission Produce has declined from prior years when the Company was actively building out farms, packhouses, and distribution

infrastructure across Mexico, Peru, and Guatemala. Those investments have begun to “bear fruit” which should drive ongoing positive rate-of-change.

Mission Produce fortified its leadership of the avocado category with its acquisition of Calavo. The acquisition was funded with a combination of cash and stock for ~\$465M. AVO paid ~11.5x FY 2025 EBITDA for CVGW. When the acquisition was announced in January, AVO traded down from \$12.70 by over 18% (to \$10.37) but five trading days later was up by 6% from the day preceding the announcement and 30% from that intraday low on January 15th. Since the acquisition announcement the equity has seen a 52-week high at \$15.53 in April and a 52-week low at \$10.07 in June. AVO's equity is susceptible to ongoing volatility given market structure compounded by the small cap factor but the likely improvements to the Company's financial performance should drive the equity higher as management successfully integrates Calavo and continues to drive its other growth and efficiency initiatives.

AVO's stock is now roughly the same price as the day that preceded the acquisition announcement. The market is not discounting the magnitude of improved strategic positioning and operating leverage from the Calavo acquisition nor evidence of the positive inflection from the Company's other initiatives. There is of course execution risk with any acquisition. The successful integration and the execution of cost savings and other synergies will be a critical component driving value creation. I am ascribing a high probability of a successful outcome given the strategic logic of the acquisition and my impression that management will deliver at least \$25M of “synergies” which are not inclusive of any potential top-line synergies. During the most recent quarterly earnings call, AVO's management said, “We continue to see a minimum of \$25M of annualized cost synergies achievable within 18 months of close with meaningful upside potential...We expect our synergies to materialize from eliminating the redundant operations and SG&A structures that come with combining two organizations of scale.”

AVO's management is well-equipped to deliver more than \$25M of cost savings from Calavo which was historically undermanaged and especially during the second half of last year when numerous potential acquirers engaged in a targeted auction process to evaluate the acquisition. Calavo was likely challenged with management turnover, including the resignations of the CEO and the head of Sales and Operations, in addition to the disruptions that frequently accompany a strategic exploration process. Among the atypical disruptions was that Calavo's Chairperson participated in the acquisition process as a potential buyer. As some evidence of the challenges evident at Calavo during the second half of last year, Calavo's sales and EBITDA for its fiscal year ended October 2025 were ~10% and ~15% lower, respectively, versus the forecasted outlook that Calavo's management provided to potential acquirers in September.

Management is likely to provide improved visibility for its synergy target of \$25M “with meaningful upside potential” at the Company's investor day on October 8th. During January when the acquisition was announced, management noted an expectation for significant efficiency opportunities in administration, operations and supply chain. To achieve at least \$25M, management will optimize SG&A, common distribution hubs and trucking spend as well as enhance sourcing capabilities from Mexico and California. For example, during the most recent reported quarter, gross margin at Mission Produce declined by 50 basis points and management attributed part of the degradation to a temporary size-curve mismatch (i.e., having wrong mix of avocado sizes relative to customer demand) which forced the Company onto the spot market. Management indicated that their results would have been meaningfully better with the combination of all four packing houses in Mexico integrated since they had to outsource more third-party packing capacity than usual at the peak of the Mexican season. Management estimated in January that the \$25M of cost savings would be derived as follows: ~48% from SG&A, 29% from packaging and distribution, 16% from freight, and 7% from sourcing. One can infer that nearly \$4.5M will come from eliminating the cash payments to Calavo's Board of Directors, Calavo's top four executives, and audit fees. As additional context for substantial cost savings that might be achieved through improved efficiencies, it's notable that sales and EBITDA per employee at Mission Produce were 11% and 41% higher, respectively, versus Calavo during 2025. Calavo had more than double the personnel employed in Mexico versus Mission Produce. Though the majority of employees for both companies are not corporate, the fact that their headquarters are located less than 20 miles from one another probably helps with executing the cost savings in which rationalization of overhead redundancies exist. I think there is more potential upside from cost savings and revenue synergies but I have assumed \$20M is achieved in 2027 which improves to \$25M in 2028 and ultimately \$30M in 2029.

Given the recent appreciation of the equity to levels above the 20/50/150/200 DMA, the set-up for those who primarily focus on charts has improved which could provide additional momentum for AVO's equity from those who apply technical analysis. From my perspective, the rationale to invest in Mission Produce is driven by its rate-of-change which should substantially improve based on management executing upon the increased scale benefits, cost savings and top-line synergies from the recent acquisition of Calavo, the operating leverage from improving farmland yields, the evidence of growth inflecting in Europe, and a lower capital-intensive profile.

As a ~\$1B equity cap with nothing to do with AI and covered by three sell-side analysts from smaller firms, AVO doesn't garner much attention but they will host an investor day in NYC this October which should enhance the visibility of their growth trajectory, improving ROIC, and FCF generation. In addition to the recently-appointed CEO, I think it's relevant to highlight the head of IR and Strategy who started this past June given his array of experiences with far larger companies and although he is not the “jockey” leading AVO, I was encouraged by my discussion with him that reinforced a focus on ROIC and FCF. Andrew Pearson was previously with Ecolab, UNFI, and General Mills.

There are of course numerous risks to consider, some which are described below and I begin with a risk consideration that Mission Produce encountered on August 5th when a headline from the AFP News Agency crossed the wires that said, “U.S. suspends imports from Mexico's largest avocado producer.” With recent food safety issues escalating with lettuce and jalapeno peppers, it's likely the market immediately assumed a similar set of challenges as AVO's stock traded down by over 9% from the intraday high. Two days later the stock closed up 13% from that headline-driven intraday low.

From 1914-1993, a near-total U.S. embargo was placed on Mexican avocados to prevent a range of weevils, scabs and pests from entering U.S. orchards. In 1993 gradual, partial openings and regional allowances took place. Mission Produce was among the first to import avocados from Mexico in 1997. Food safety issues are undoubtedly an ongoing risk to all food-related companies but the specific issue that confronted Mission Produce last week and other

avocado importers is the impact of drug cartels in Mexico. According to a 2024 report by the Global Initiative Against Transnational Organized Crime, “Cartels regularly extort producers in protection schemes.” As described in the Company’s 10K, “...security institutions in Mexico are under significant stress as a result of organized crime and gang and drug-related violence, which also could affect avocado production and shipments.” On August 5th, USDA export verification activities and shipments were halted following a security alert and threat against American inspectors in Michoacán. Similar disruptions occurred in June 2024, February 2022, and 2019. During 2024, when imports were paused for more than a week after two U.S. avocado inspectors were assaulted and detained at a police roadblock, the price of a carton of avocados surged by 40%. Generally, the situation is resolved within days because export pauses hurt the people of Mexico and the U.S. as well as the cartels. If the avocados aren’t moving, it becomes more challenging for criminals to collect their extortion payments. Since over 80% of the avocados consumed in the U.S. come from Mexico, the change in supply from Mexico significantly impacts prices.

In regards to food safety, note that one of AVO’s Directors is Bruce Taylor of Taylor Farms which generated \$7B of revenue as America’s largest salad producer. He has been on the Mission Produce board since 2001 and bought nearly \$10M of AVO in June. This past weekend Taylor Farms noted it was pulling prepared food items containing jalapenos including salsas and guacamole from retailers because of recent concerns over salmonella linked to peppers supplied by Coast Citrus. More specifically related to food safety is that Taylor Farms was tied last month to an outbreak of cyclospora parasite in iceberg lettuce from Mexico supplied by Taylor Farms to companies including Taco Bell. This is not an issue related to Mission Produce but given the shorter-term and headline-driven dynamics in our public market, there could be a potential risk to food companies from recent food safety issues if broadly-defined to that factor exposure and more specifically if anyone were to ascribe issues to AVO based on Taylor being on AVO’s Board. Absent anything specifically ascribed to Mission Produce though, I would deem this risk consideration as nothing but volatility to take advantage of as has been recently reinforced by the import restriction.

During periods of abundant supply from Mexico, the market becomes “single-source,” which limits management’s ability to leverage its global sourcing arbitrage and geographic advantages. I believe that Mission Produce is well-positioned to demonstrate a positive rate-of-change trend but the trajectory won’t be linear given the volatility that comes with exposure to avocado volume and pricing. That volatility provides ample opportunity to trade around a core long position for what is as an attractive risk/reward.

El Nino is a risk that management flagged on their Q2 FY26 earnings call. A potential super El Nino could adversely impact conditions in key production regions during the next several months. Elevated temperatures during flowering periods can reduce yields. Management believes they are better positioned to weather this risk than most peers but extreme weather is a risk factor as evidenced during the FY24 Peruvian harvest which was marginalized to only 43 million pounds of exportable production. Volume surged by 144% under more normalized growing conditions in 2025.

In any Presidential administration, there is trade policy risk but that consideration is escalated under the Trump administration. The substantial majority of avocados consumed in the U.S. are sourced from Mexico under the tariff-free framework USMCA provides but during March 2025 USMCA-compliant Mexican goods were subject to tariffs for three days before being exempted. While Mission’s diversified sourcing across Peru, Guatemala, and Colombia provides some buffer, the North American supply chain is too dependent on avocados from Mexico to be quickly re-routed if trade conditions were to deteriorate materially.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise do not hold a material investment in the issuer’s securities.

Catalyst

Selected Catalysts

October 8th investor day raises Company’s visibility with improved clarity for expected rate of change in FCF, earnings, and ROIC

Successful integration of Calavo acquisition to generate at least \$25M of cost savings

Additional insider buying and execution of buyback

Potential event-driven dynamics with Globalharvest

Messages

No messages